*commodities over time, and distribute them for consumption, now and in the future among various people and groups of society".*

**The major implications of this definition are as follows:**

**a.** Like Robbins, Samuelson states that the means are scarce in relation to unlimited ends and that such means could be put to alternative uses.

**b.** Samuelson makes his definition dynamic by including the element of time in it. Therefore, his definition covers the theory of economic growth.

**c.** Samuelson's definition is applicable also in a barter economy, where money is not used.

**d.** His definition covers various aspects like production, distribution and consumption.

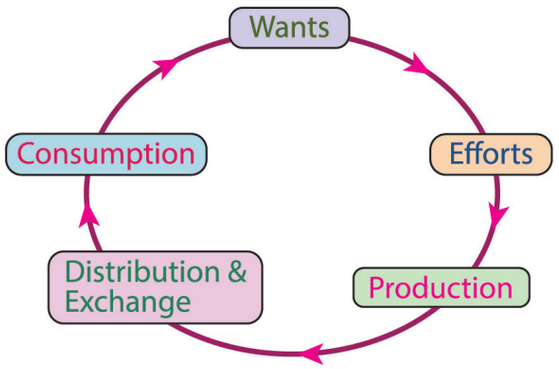
**e.** Samuelson treats Economics as a social science, whereas Robbins regards it as a science of individual behaviour.

Of all the definitions discussed above, the 'growth' definition stated by Samuelson appears to be the most satisfactory.

## 1.4 Scope of Economics

The scope of the subject of Economics refers to on the subject-matter of Economics. It throws light on whether it is an art or a science and if science, whether it is a positive science or a normative science.

### 1.4.1 Economics: Its Subject-Matter




- Economics focuses on the behaviour and interactions among economic agents, individuals and groups belonging to an economic system. It deals with the activities such as the consumption and production of goods and services and the distribution of income among the factors of production. The activities of the rational human beings in the ordinary business of life under the existing social, legal and institutional arrangement are included in the Science of Economics; the abnormal persons and the socially unacceptable and unethical activities are excluded.
- Economics studies the ways in which people use the available resources to satisfy their multiplicity of wants. Scarcity is a problem indicating the gap between what people want and what they are able to get. This scarcity can be eliminated either by limiting the human wants or by increasing the supply of the goods that satisfy the



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